



seems okay unless we do something really disastrous to damage it, and I have that much faith that enough state governments also are generally investment friendly now. So for them to damage this so badly, I think, to me, is not something that is my base case.

Q: We're seeing Trump talk up cryptocurrencies. How do you see that impacting them as an asset class?

A: People are looking for alternatives to the US dollar, and they have not been able to find it in other currencies. Because whether it's the Chinese currency or the euro, they face even bigger problems than America does. So the default option for them have been two: One is gold, and second has been Bitcoin and crypto as alternative asset classes. So I think that's what's going on because, remember, a lot of people also who were bullish on crypto said this would replace gold. Instead, gold has done equally well this year, or almost as well as crypto has done.

Q: Do you see cryptocurrencies emerge as a more robust, more meaningful asset class?

A: Crypto is here to stay. Sure there's a lot of speculative fluff that has been built up on the price. But I think as an asset class, it's here to stay. And I think that along with gold—these are long-term trends—which is that

their allocation within portfolios is bound to increase. I've written a piece, in fact, earlier this year, saying two chairs for the crypto bulls. One, that crypto has lasted much longer than what the bears had said. Two, the price has done very well. The only negative about crypto, so far, is a lot of people thought that this could be used in transactions. That's not happening.

Q: What are the three big risks that investors need to be most mindful about?

A: I think that the big risk is the fact that the US economy continues to grow at this incredible pace. For nine quarters in a row now, they have grown at a pace of nearly 3%. So at the surface, things look okay. Beneath the surface, it's a lot of unrest... The fact that a big theme of this election was the fact that... so many people in America today are disillusioned with the overall economic system. So my thinking is that if Trump decides that he needs to address this with even greater fiscal support, then what happens to the deficit, and if interest rates around the world start to shoot up, I think that's the biggest risk I see for the US and for the global economy, that interest rates around the world begin to really rise a lot because America's deficit situation gets out of control.

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Q: And the risk for India?

A: The risk for India is that for a while at least when that happens that even we are forced to not cut rates, which we were willing to do, and that goes up, until the dollar turns. If there are higher interest rates in the US, that translates to us as well. The second is, obviously, that Trump comes through on his tariff threats. Because I think a lot of people today are discounting them...

Q: Which sectors could see the most impact?

A: I think it's sentiment stuff... if you see trade wars start happening around us, we are still relatively insulated because our share of global trade is not that high... but the global economy [itself] could weaken. [But] given what's happening, what if this leads to higher inflation? Underlying inflation in the US is still running at about 3% higher than what it used to be when it was well below 2%. If the economy remains strong and you do more stimulus, then next year, could we get inflation of 3-4% and then what happens to interest rates? If you ask me for the three risks, it's got to do with interest rates. It's got to do with inflation and the fact that he [Trump] comes through on his worst tariff threats. **BT**

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